

Bonds



Bond Risks



There is an Inverse relationship between interest rates and bond prices.

Types of Corporate Debt

Medium-Term Notes (MTNs)

- ✓ Maturities ranging usually from nine months to five years.
- ✓ How MTNs differ from other debt instruments is that they are offered to investors continually over a period of time by an agent.

Fixed-Rate Bonds

- ✓ The key features of fixed-rate bonds have already been described above. Essentially, they have fixed coupons which are paid either half-yearly or annually, and predetermined redemption dates.

Types of Corporate Debt

Floating Rate Notes (FRNs)

- ✓ An FRN will usually pay interest at the benchmark rate (LIBOR or SONIA and SOFR) plus a quoted margin or spread.

Convertible Bonds

- ✓ Convertible bonds are issued by companies. They give the investor holding the bond two possible choices (receiving SPPI or convert to predefined number of ordinary shares).

Types of Corporate Debt



Types of Corporate Debt

Zero Coupon Bonds (ZCBs)

- ✓ Zero coupon bonds (ZCBs) pay no interest. As seen, 'coupon' is an alternative term for the interest payment on a bond.
- ✓ These ZCBs are issued at a discount to their par value and they repay, or redeem, at par value. All of the return is provided in the form of capital growth rather than income.
- ✓ It may be treated differently for tax purposes.

International Bonds

Domestic and Foreign Bonds

- A domestic issuer into the domestic market, for example, a UK company issuing bonds, denominated in sterling, to UK investors.
- In contrast, a foreign bond is issued by an overseas entity into a domestic market and is denominated in the domestic currency.
Example US dollar bond issued in the US by a non-US company.

International Bonds

- **Domestic bonds:** Issued, underwritten and then traded with the currency and regulations of the borrower's country.
- **Eurobonds:** Underwritten by an international company using domestic currency and then traded outside of the country's domestic market.
- **Foreign bonds:** Issued in a domestic country by a foreign company, using the regulations and currency of the domestic country.(Yankee bond)

Stock Market Fundamentals



Features and Benefits of Shares

- Shares are the equity capital of a company, hence the reason they are referred to as equities. They may comprise ordinary shares and preference shares.
- Shares can be issued in either registered or bearer form.

Ordinary and Preferred Shares

- Life
- Claim
- Dividend
- Risk
- Voting Right

Preference Shares

- Preference shares have legal priority (known as seniority) over ordinary shares in respect of earnings and, in the event of bankruptcy, in respect of assets.
- Preference shares may be cumulative, non-cumulative and/or participating.
- They may be convertible or redeemable.

Benefits of Owning Shares



Company actions that affect Equity

- Initial public offering (IPO)
- Secondary equity offering
- Share repurchase
- Conducting stock split
- Issuing a stock dividend
- Issuing new stock after the exercise of warrants.
- Issuing new stock after the exercise of convertible bond.
- Issuing new stock to finance an acquisition

Derivatives



Overview of Derivatives



Uses of Derivatives

- **Hedging** : this is a technique employed by portfolio managers to reduce portfolio risk.
- **Anticipating future cash flows** : if a portfolio manager expects to receive a large inflow of cash to be invested in a particular asset, then futures can be used to fix the price at which it will be bought and offset the risk that prices will have risen by the time the cash flow is received.
- **Asset allocation changes**: changes to the asset allocation of a fund, whether to take advantage of anticipated short-term directional market movements

Uses of Derivatives

- **Arbitrage:** the process of deriving a risk-free profit from simultaneously buying and selling the same
- **Speculation:** involves assuming additional risk (betting) in an effort to make, or increase, profits in the portfolio.

Futures

- A future is a **legally binding** agreement between a buyer and a seller.
 - The buyer agrees to pay a **pre-specified** amount for the delivery of a particular pre-specified quantity of an asset at a pre-specified future date.
- The seller agrees to deliver the asset at the future date, in exchange for the pre-specified amount of money.

Futures

- The buyer must purchase or the seller must sell the underlying asset at the set price, regardless of the current market price at the expiration date.
- It is a standardized security.
- Standardized derivative means a derivative that is traded on a published market, whose intrinsic characteristics are determined by that market and whose trade is cleared and settled by a clearing house..

Features of Futures

Organised Exchanges:

- Unlike forward contracts which are traded in an over-the-counter market, futures are traded on organised exchanges with a designated physical location where trading takes place. This provides a ready, liquid market in which futures can be bought and sold at any time like in a stock market.

Standardisation:

- In a futures contract, both the amount of commodity to be delivered and the maturity date are standardised by the exchange on which the contract is traded.
- These are standardized contracts in terms of quality and quantity. Only the price is open for negotiation.

Futures Terminologies

- Derivatives markets have specialised terminology that is important to understand.
- ✓ **Long** – the term used for the position taken by the buyer of the future. The person who is ‘long’ in the contract is committed to buying the underlying asset at the pre-agreed price on the specified future date.
- ✓ **Short** – the position taken by the seller of the future. The seller is committed to delivering the underlying asset in exchange for the pre-agreed price on the specified future date.

Futures Terminologies

- ✓ **Open** – the initial trade. A market participant opens a trade when it first enters into a future. It could be buying a future (opening a long position) or selling a future (opening a short position).
- ✓ **Close** – the physical assets underlying most futures that are opened do not end up being delivered: they are closed-out instead.

Futures Terminologies

- ✓ **Covered** – when the seller of the future has the underlying asset that will be needed if physical delivery takes place.
- ✓ **Naked** – when the seller of the future does not have the asset that will be needed if physical delivery of the underlying commodity is required. The risk could be unlimited.

Options

- **An option gives a buyer the right, but not the obligation, to buy or sell a specified quantity of an underlying asset at a pre-agreed exercise price (strike price), on or before a pre-specified future date or between two specified dates (expire date).**
- **A buyer of an options contract has rights, but the seller of an options contract, on the other hand, has an obligation.**

Options

- Unlike futures, the holder is not required to buy or sell the asset if they decide against it.
- The seller, in exchange for the payment of a premium, grants the option to the buyer.
- They may be traded on exchange (standardized) or OTC (customized)

Options Terminology

There are two main classes of options:

- 1. A call option** is when the buyer has the right to buy the asset at the exercise price, if they choose to. The seller is obliged to deliver if the buyer exercises the option.
- 2. A put option** is when the buyer has the right to sell the underlying asset at the exercise price. The seller of the put option is obliged to take delivery and pay the exercise price, if the buyer exercises the option.

Option terminologies



- ✓ Buyer of a call: the right to buy an asset at strike price.
- ✓ Seller of a call: the obligation to sell an asset at strike price.
- ✓ Buyer of a put: the right to sell an asset at strike price.
- ✓ Seller of a put: the obligation to buy an asset at strike price.

Options Terminology

- ✓ The buyers of options are the owners of those options. They are also referred to as holders.
- ✓ The sellers of options are referred to as the writers of those options.

Interest Rate Swaps

- A swap is an agreement to exchange one set of cash flows for another.
- Swaps are a form of OTC derivative and are negotiated between the parties to meet their different needs, so each tends to be unique.
- Interest rate swaps are the most common form of swaps.
- They are usually used to hedge exposure to interest rate changes.

Questions on Financial Market and Institutions

Q1

- **The function of buying securities from a corporation at a predetermined price and then reselling them in the market by an investment bank is called:**
 - A. Distributing.
 - B. Underwriting.
 - C. Advising.
 - D. Undertaking.

Q2

- Which of the following is commonly traded in the money market?
 - A. treasury bill
 - B. Preference shares
 - C. Treasury notes
 - D. Government bonds

Q3

A corporation acquires new funds only when its securities are sold in the

- A. secondary market by an investment bank.
- B. primary market by an investment bank
- C. secondary market by a stock exchange broker.
- D. secondary market by a commercial bank.

Q4

Which of the following is not a goal of financial regulation?

- A) Reducing moral hazard
- B) Reducing adverse selection
- C) Ensuring that investors never suffer losses
- D) Ensuring the soundness of the financial system

Q5

The additional incentive that the purchaser of a Treasury security requires to buy a long-term security rather than a short-term security is called the:

- A. risk premium
- B. market premium
- C. term premium
- D. tax premium

Q6

Bonds with relatively low risk of default are called

- (a) zero coupon bonds.
- (b) junk bonds.
- (c) investment grade bonds.
- (d) none of the above.

Q7

the principal lender-savers in the financial system are

- A) Households
- B) The federal government.
- C) State governments.
- D) Businesses ...

Q8

- A goal of the Securities and Exchange Commission is to reduce problems arising from
 - A) competition.
 - B) banking panics.
 - C) risk.
 - D) asymmetric information.

Q9

- **The primary purpose of deposit insurance is to _**
- A. Improve the flow of information to investors.
- B. Protect bank employees from unemployment.
- C. Protect bank shareholders against losses.
- d. Prevent banking panics.

Q10

- An important financial institution that assists in the initial sale of securities in the primary market is the?
- A) investment bank.
- B) commercial bank.
- C) stock exchange.
- D) brokerage house

Q11

- Corporations receive money from investors with:
 - a. initial public offerings.
 - b. seasoned new issues.
 - c. primary market transactions.
 - d. a and b.
 - e. all of the above.

Q12

- Financing for new, often high-risk firms is called:
 - a. an initial public offering
 - b. a seasoned offering
 - c. a private placement
 - d. venture capital
 - e. a public offering

Q13

- **The process of deriving a risk-free profit from simultaneously buying and selling the same**
 - A. hedging
 - B. Speculation
 - C. Asset allocation
 - D. Arbitrage

Q14

- **Bonds that are sold in a foreign country and are denominated in a currency other than that of the country in which they are sold are known as**
- A. foreign bonds.
- B. Eurobonds.
- C. Euro-currencies.
- D. Eurodollars

Q15

- **The contract where buyer and seller agrees to exchange asset on future date without the involvement of stock exchange**
- A. Options
- B. Futures
- C. Forwards
- D. Swaps

Q16

- **The option contract which gives the buyer the right to buy the underlying asset is**
- A. Put option
- B. Call option
- C. European option
- D. Bermudan option

Q17

- **The option contract that can be exercised at any time before the maturity date is known as**
- A. European option
- B. American option
- C. Bermudan option
- D. None of the above

Q18

- One is odd from other
- A. Commercial bank
 - B. Insurance
 - C. Microfinance institution
 - D. Credit union
 - E. Saving and loan association

Q19

Which of the following is the function of financial market?

- (a) Mobilization of savings
- (b) Price fixation
- (c) Provide liquidity to financial assets
- (d) All of the above

Q20

When securities are allotted to institutional investors & some selected individuals is referred to as _____.

- (a) Initial public offer
- (b) Offer through prospectus
- (c) Private placement
- (d) Offer for sale

Q21

_____ is a market for lending & borrowing of short term funds.

- (a) Money market
- (b) Primary market
- (c) Capital market
- (d) All of the above

Q22

What are Federal funds?

- a. Treasury notes
- b. Commercial bank deposits at the Federal Reserve
- c. Federal Reserve assets
- d. Vault cast of the Federal government

Q23

In most variable-rate mortgages, the homebuyer

- a. assumes none of the interest rate risk
- b. assumes all of the interest rate risk
- c. shares the interest rate risk with the lender
- d. does not repay the principal until maturity

Q24

A futures contract is an agreement to trade an asset

- a. in the future at a price determined today
- b. today at a price prevailing at some future date
- c. in the future at a price prevailing in the future
- d. today at a price determined today

Q25

Compared to future contracts, forward contracts

- a. are not standardized
- b. involve an intermediary or exchange, rather than direct contact between buyer and seller
- c. have less formal markets
- d. make delivery most often

Q26

- It is a method by which banks borrow from each other to be able to maintain the cash reserve ratio.
- (a) Commercial bill
- (b) Commercial papers
- (c) Call money
- (d) None of the above

Q27

A company can raise capital through the primary market in the form of

- (a) Equity shares
- (b) Preference shares
- (c) Debentures
- (d) All of the above

Q28

PK Enterprises Limited has sold an entire lot of 5,00,000 equity shares @ ₹9 each to Prosperous Bank Private Limited. The bank in turn will offer the shares to general public for subscription @ ₹11 per share. Identify the method of floatation being described in the given lines.

- (a) Private placement
- (b) Offer through prospectus
- (c) Offer for sale
- (d) Rights issue

Q29

Jaykant is holding hundred shares of a company. He has been given a privilege offer to subscribe to a new issue of shares of the same company in proportion of 2:1 to the number of shares already possessed by him. Identify the method of floatation being described in the above case.

- (a) Offer through prospectus
- (b) Offer for sale
- (c) Rights issue
- (d) Private placement

Q30

- . _____ is a type of investment vehicle consisting of a portfolio of stocks, bonds, or other securities.
- (a) Government Securities
- (b) Mutual Funds
- (c) Derivatives
- (d) Shares

Q31

.....is the suitable method where small companies issue shares

- a. public issue
- b. placement
- c. offer for sale
- d. none of these

Q32

The price specified on an option that the holder can buy or sell the underlying asset is called the

- a. premium
- b. Call
- c. Strike price
- d. Put

Q33

- The amount paid for an option is the
 - a. Strike price
 - b. Premium
 - c. Discount
 - d. Commission

Q34

An option allowing the holder to buy an asset in the future is a

- a. Put option
- c. Swap
- b. Call option
- d. Premium

Q35

Zero interest bonds are always issued

- a. At premium
- b. At discount
- c. With detachable warrant
- d. Any of the above

Q36

When purchases of securities are more than sales of securities, the market is called

- a. Bullish
- b. Bearish
- c. Grey
- d. Odd

Q37

If you buy a put option on treasury futures at 115, and at expiration the market price is 110,

- a. the call will be exercised
- b. the put will be exercised
- c. the call will not be exercised
- d. the put will not be exercised

Q38

- An important financial institution that assists in the initial sale of securities in the primary market is the
- (a) !investment bank.
- (b) !commercial bank.
- (c) !stock exchange.
- (d) !brokerage house

Q39

- Intermediaries who link buyers and sellers by buying and selling securities at stated prices are called
- (a) !investment bankers.
- (b) !traders.
- (c) !brokers.
- (d) !dealers.

Q40

- When the lender and the borrower have different amounts of information regarding a transaction, _____ is said to exist.
- (a) !asymmetric information
- (b) !adverse selection
- (c) !moral hazard
- (d) !fraud

Q41

- Treasury bonds are subject to _____ risk but are free of _____ risk.
- (a) !default; interest-rate
- (b) !default; underwriting
- (c) !interest-rate; default
- (d) !interest-rate; underwriting

Q42

The riskiest capital market security is

- (a) !preferred stock.
- (b) !common stock.
- (c) !corporate bonds.
- (d) !Treasury bonds.